



amount of that in the system that will play out. I think RBI caught it pretty early. I remember my first analyst call [where] I called it out saying, 'I am a little worried about this', and RBI called it out a little after that, more broadly. The regulator moved very quickly, and unsecured retail growth has slowed quite dramatically over the last two-three quarters.

Q: What will happen in the coming quarters?

A: Unsecured retail credit plays through the system. It usually builds up for two or three quarters and then tapers out over the next two or three quarters. My sense is that we are at the peak. At least at Kotak I think we are at the peak and then it will taper off and we will come back to some level of normalcy two quarters down the road.

Q: Kotak is a full-service bank. Are you comfortable with its performance?

A: I would say that this year has been kind of rocky. I do not think it is news that we got an embargo from the RBI [on onboarding new customers through online and mobile banking channels and issuing fresh credit cards]. And that has taken up a lot of my personal and the management's bandwidth.

Q: That is a subject that you know from your previous outings as well...

A: Yes, sometimes I wish I didn't. It has taken up a lot of our time. But what I feel good about is [that] we've taken this time to not only fix the technology issues and make sure that we get into much better shape, but have also taken the time to rethink and bring the whole